IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of An Application of a case stated under section 11A of the Tax Appeals Commission Act No. 23 of 2011 as amended by Act No. 20 of 2013.

LANKA SECURITIES (PVT) LTD,
3rd floor, M2M Veranda Office,
No. 34, W.A.D. Ramanayake
Mawatha,
Colombo 2.

APPELLANT

Case No.: CA/TAX/123/2024
Tax Appeals Commission No:
TAC/IT/NEW/321/2023

-Vs-

THE COMMISSIONER GENERAL OF INLAND REVENUE,
Department of Inland Revenue,
Inland Revenue Building,
Sir Chittampalam A. Gardiner
Mawatha,
Colombo 2.

RESPONDENT

Before : **JUSTICE M.CHAMATH.B.S. MORAIS**
JUSTICE ANNALINGAM PREMASHANKER

Counsel: **Naomal Goonewardena, Attorney at Law, with Aparna Kulathunga, Attorney at Law, Akshina Liyanage, Attorney at Law for the APPELLANT**

Manohara Jayasinghe, Deputy Solicitor General for the RESPONDENT.

Written Submissions of the Appellant :- 04.08.2025,18.12.2025
Written Submissions of the Respondent :- 21.04.2025
Argued on :- 28.10.2025
Order on :- 19.03.2026

JUDGEMENT

ANNALINGAM PREMASHANKER, J.

A. INTRODUCTION

A1. APPEAL

This is an appeal by **Lanka Securities (Pvt) Ltd** (**Hereinafter sometimes referred to as The Tax Payer/ Appellant**) from the determination of the Tax Appeals Commission dated

19.06.2024 made in TAC appeal no. TAC/IT/NEW/231/2023. The Respondent is **The Commissioner General of Inland Revenue** (**Hereinafter sometimes referred to as The Respondent/CGIR**).

A2. REQUEST

The Appellant being dissatisfied with the Determination of Tax Appeals Commission (**Hereinafter sometimes referred to as TAC**) requested for an appeal by a case stated for the opinion of the Court of Appeal by their communication dated 18.07.2024.

A3. QUESTION OF LAW

In the case stated dated 18.09.2024 following question were raised for the opinion of the Court of Appeal:-

Q.N.1. ***Whether the decision of the Tax Appeals Commission to disallow a sum of Rs. 8,832,143.80 from and out of the tax loss of Rs. 16,436,061.70 brought forward from the year of assessment 2016/2017 is wholly erroneous and invalid in law in view of the losses for 2016/2017 being final for they said year in the absence of any assessment for such year?***

A4. ARGUMENT

On 28th October 2025, both parties concluded the argument. It is found that the Appellant has furnished written submissions on 04.08.2025 and 18.12.2025. The Respondent has furnished the written submissions on 21.04.2025.

B. ANANLYSIS

B1. QUESTION OF LAW

There was one question of law presented for the opinion of the Court of Appeal, in this Appeal.

> ***"Whether the decision of the Tax Appeals Commission to disallow a sum of Rs. 8,832,143.80 from and out of the tax loss of Rs. 16,436,061.70 brought forward from the year of assessment 2016/2017 is wholly erroneous and invalid in law in view of the losses for 2016/2017 being final for they said year in the absence of any assessment for such year?"***

B2. TAX RETURN AND ADMINISTRATIVE REVIEW

The tax payer submits its return for the year of 2018/2019. The Assessor did not accept the return and issued an assessment. Having aggrieved by the said Assessment, the tax

payer made a request for administrative review to the CGIR. CGIR by his determination dated 04.08.2023 determined the appeal by reducing the assessment.

B3. APPEAL TO TAC

The tax payer having not satisfied with the Administrative Review by the CGIR, made an appeal to the TAC. TAC by its determination dated 19.06.2024, upheld the decision of the Inland Revenue Department and dismissed the appeal. Thereafter, the Appellant being dissatisfied with the said determination of the TAC requested TAC by its communication dated 18.07.2024 to have a case stated for the opinion of the Court of Appeal.

C. OBJECTION

C1. PROCEDURE

Respondent raise an objection which warrants a dismissal of the appeal even without considering the merits. The appeal relates to the assessment year 2018/2019 which is governed by the 2017 Inland Revenue Act. The said Act contemplates an appeal to the Tax Appeals Commission and a further appeal to the Court of Appeal. **Section 144 is very explicit that an appeal from the Commission to the Court of Appeal must be by way of a notice of appeal filed not later than 14 days**

from the determination. The taxpayer has NOT filed such a notice of appeal. The Respondent states that the appeal is not a valid appeal with the law.

C2. SECTION 144 OF THE IRA

Section 144 of IRA No. 24 of 2017 is as follows:

144 (1) "***Either party to a proceeding before the Tax Appeals Commission who is dissatisfied with the decision of the Tax Appeals Commission may, within one month after being notified of the decision, file a notice of appeal with the Court of Appeal; and the party so appealing shall serve a copy of the notice of appeal on the other party to the proceeding before the Tax Appeals Commission***"

(2) "***An appeal to the Court of Appeal shall not be made unless an appeal request to the Tax Appeals Commission has first been made, and—***

(a) a decision has been received from the Tax Appeals Commission;

or

(b) ninety days have lapsed since the request for appeal to the Tax Appeals Commission was made and no response to the request for appeal has been received from the Tax Appeals Commission"

(3) "***An appeal from a decision of the Tax Appeals Commission to the Court of Appeal shall be made only on a question of law"***

(4) ***"Where an appeal is made from a decision of the Tax Appeals Commission, the Tax Appeals Commission shall provide a written statement of the decision, including a summary of the evidence, the Commission's finding of the facts, and their conclusions on the points of law involved"***

C3. ONE MONTH

As per the Section 144 (1), it is necessary for an appellant **to file a notice of appeal with the court of appeal within one month after being notified of the determination with notice to the opponent**.

C4. NO MEANING

In this instance, notice of appeal dated 18.07.2024 was filed in the court of appeal with the motion dated 18.07.2024 and a copy was forwarded to CGIR with a covering letter of 18.07.2024. The determination of the TAC dated 19.06.2024 has notified to the appellant on 19.06.2024 and as per section 144(1), the said notice of appeal has been filed within one month of the intimation. Therefore the objection raised by the Respondent has no meaning. There is no requirement to file the notice of appeal within 14 days of determination.

D. FURTHER ANALYSIS

D1. INCOMPLETE ACTION

It is noted that the Appellant did not receive any Notice of Assessment for the year of assessment 2016/2017. As a result, the process of making an assessment in relation to the return of Income for the year of assessment 2016/2017 has not been completed.

D2. RESULTANT POSITION

As per the tax liability adjustment provided in the letter of intimation dated 19th December 2018 for the year of assessment 2016/2017, there were carried forward business losses claimable up to 35% of the total statutory income.

Furthermore, there was a taxable income and a tax payable for the relevant year of assessment. Therefore, the Respondent's failure to issue a notice of assessment for the year of assessment 2016/2017, has rendered the entire assessment procedure defective, null and void. Accordingly, the carried forward losses as claimed by the Appellant should be permitted.

D3. ENTITLEMENT

The aforesaid loss incurred during the year of assessment 2016/2017 which is Rs. 18,583,092 and carried forward to the following year which is Rs. 14,499,809, are to be treated as final, and the Appellant is entitled for the entire brought forward loss of Rs. 16, 436,061 claimed in the self- assessment return for the year of assessment 2018/2019.

D4. GAZETTE NOTIFICATION

Item five of the extraordinary gazette notification No.2064/83 dated 01.04.2018 issued in terms of Section 194 of the IRA No. 24 of 2017, is as follows;

> ***"Where any provision of the Inland Revenue Act, No.10 of 2006 provides for the deduction of any loss in ascertaining the assessable income of any person for***

any year of assessment, and any balance of such loss as at March 31, 2018 shall be deemed to be the loss incurred for the year of assessment commencing on or after April 1, 2018 under the Inland Revenue Act, No.24 of 2017 and be deductible in accordance with the Inland Revenue Act, No. 24 of 2017"

D5. DEDUCTION OF LOSS

According to the self- assessment return for the year of assessment 2018/2019, the Appellant has claimed a brought forward loss of Rs. 16,436,061.70 in accordance with item 5 of the Extraordinary Gazette Notification No. 2064/53 dated 1st April 2018 issued in terms of Section 194 of the Inland Revenue Act, No. 24 of 2017.

The aforementioned Gazette Notification clearly states that if there is any balance loss as at 31st March 2018, then it shall be deemed to be the loss incurred for the year of assessment 2018/2019 and therefore, shall be deducted in accordance with the Inland Revenue Act No. 24 of 2017.

D6. CALCULATIONS

The Senior Deputy Commissioner has stated the following with regard to the above.

"As per the IRD records a loss adjustment had been done at the finalization of the Return for 16/17. Accordingly, loss carried forward to 17/18 is Rs. 6,895,891.10 (as per the 16/17 records). Further, according to the IRD records, loss carried forward balance to 18/19 (as per the 17/18 records) is Rs. 8,832,143.80. Therefore, the brought forward loss allowable in the year of assessment under RAR is Rs. 8,832,143.80"

D7. FOLLOW UP

The appellant states that once the Assistant Commissioner has issued a letter of intimation under section 163 (3) of the Inland Revenue Act, he should formally communicate the assessment to the taxpayer in the form of a Notice of Assessment as per section 164 of the Inland Revenue Act. Thereafter, if the Appellant is not satisfied with the Notice of Assessment, an appeal against such Notice of Assessment can be made to the Commissioner General of Inland Revenue within 30 days from the date of the Notice of Assessment as per section 165 of the said Act.

D8. RESPONDENT'S ASSERTION

The Counsel for the Respondent in the course of the submissions acknowledged that the Notice of Assessment has not been issued in the instant case but has contended that the absence of a Notice of Assessment does not necessarily mean that no assessment was made, asserting that an assessment was completed by way of the letter of intimation dated 19th December 2018.

D9. FONTERRA JUDGMENT 1

The Supreme Court in the case of ***Fonterra Brands Lanka (Pvt) v. Commissioner General of Inland Revenue*** (SC Appeal No. 187/2014) has held that:

> ***"....as assessment is not complete, nor binding, until it is notified to the taxpayer within the statutory period...."***
>
> ***"It is fundamental precept of a just legal system that a public authority must act not only within its statutory mandate but also with transparency and accountability. To allow the state to held taxpaying entities in a state of perpetual uncertainty....would be to subvert the purpose of the law."*** (p11)

Accordingly, the Respondent's contention that a complete assessment existed in December 2018 is untenable in law.

D10. FONTERRA JUDGMENT 2

The Supreme Court has also rejected the argument that a letter of intimation could constitute an assessment.

> **"...I find that although styled as an "intimation, the said letter cannot by any measure be equated with a Notice of Assessment within the meaning of Section 134 of the Act. While it contains certain preliminary calculations, these workings cannot be framed as a final and binding determination of liability." (p 21)**
>
> **"..the letter before us is no more than a preliminary communication-a step antecedent to assessment-and cannot be given the legal effect of a Notice of Assessment."**

D11. FONTERRA JUDGMENT 3

The Respondent's reliance on the letter of intimation dated 19th December 2018 is therefore wholly erroneous. The Respondent's position is contradictory to Fonterra case, where the Supreme Court held the following:

> "***These authorities read together, I hold that an 'assessment' is not complete until it is communicated to the taxpayer by a notice of assessment served within the time limit... A letter of intimation is not an assessment, nor is it an internal departmental calculation****." (p21)*

D12. STEPS UNDER SECTION 135 (5) OF IRA

The section 135(5) of the IRA states the following:

"(5) Where the Assistant Commissioner has made an amended or additional assessment under this section, he shall serve the taxpayer with notice, in writing, of the amended assessment specifying the following:-

a) the original assessment to which the amended assessment relates;
b) the amount of tax assessed and the basis upon which the amended or additional assessment has been made;
c) the amount assessed as penalty (if any) in respect of the tax assessed;
d) the amount of late payment interest (if any) payable in respect of the tax assessed;
e) the tax period to which the assessment relates;
f) the due date for payment of any tax, penalty, and interest being a date that is not less than thirty days from the date of service of the notice; and
g) the manner of objecting to the assessment

In this instance, the above actions were not followed. The notice of assessment not served in time.

D13. PURPOSE OF NOTICE OF ASSESSMENT

Section 164 of the Inland Revenue Act as follows:

> ***"An Assessor or Assistant Commissioner shall give notice of assessment to each person and each partnership who or which has been assessed, stating the amount of income assessed and the amount of tax charged...."***

The contention of the Respondent is that the section 164 makes it clear that a notice of assessment is required to be given only when income tax is been charged. In fact, by its very definition, a notice of assessment is a document by which the taxpayer is informed of the amount of income assessed and "the amount of tax charged".

D14. NO NEED OF NOTICE

It is the contention of the Respondent that no taxes were charged to the 2016/2017 assessment year. Even with the revision of the losses from 16 Million Rupees (as claimed by the taxpayer) to the 8 Million Rupees (as urged by the assessor), the taxpayer was not liable to pay income tax for that assessment year. So, there were no taxes to be charged. Therefore, a situation of sending a notice of assessment in line with Section 164 does not arise.

D15. ANSWER TO THE QUESTION OF LAW

For the reasons adumbrated above, the question of law is answered in affirmative, and as follows:

Q.N.1. YES

E. CONCLUSION

As analyzed above and as the question of law raised in the case stated are answered in affirmative, the determination of the TAC dated 19. 06. 2024 is set aside and the appeal is allowed.

The Appeal is allowed and relief granted. No cost is ordered.

The Registrar is directed to forward a copy of the judgment to the tax appeal commission.

On this 19th day of March 2026

JUDGE OF THE COURT OF APPEAL

M. C. B. S. MORAIS

I agree.

JUDGE OF THE COURT OF APPEAL